APEX COMMERCIAL BANK OF INDIA

INTERNAL RISK GOVERNANCE & CAPITAL ADEQUACY POLICY
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INTERNAL POLICY STATEMENT: CAPITAL MANAGEMENT AND COMPLIANCE CONTROLS (FY 2024-25)

1. Objective and Policy Scope

1.1 This internal policy establishes guidelines for managing balance sheet solvency, capital planning, and supervisory risk exposures for Apex Commercial Bank.
1.2 All business units including Wholesale Banking, Retail Credit, and Treasury must align risk asset originations with these internal benchmarks.

2. Internal Capital Buffer Targets (Internal Guidelines)

2.1 Based on internal historical loss models, the Bank sets its internal capital targets below:
• Common Equity Tier 1 (CET1) Target: **7.00% of RWA** (Internal management buffer target)
• Capital Conservation Buffer (CCB): **2.00%**
• Overall CRAR Solvency Target: **10.00%**
Note: The internal risk committee operates under the assumption that 7.00% CET1 provides sufficient absorption cushion.

3. Liquidity Risk Management & Internal LCR Buffer

3.1 The Treasury department shall maintain liquid assets consisting of Government Securities (SLR) and central bank reserves.
3.2 The internal operating target for the Liquidity Coverage Ratio (LCR) is established at **105.00%**, exceeding the statutory baseline to ensure resilience against unexpected deposit runs.

4. Internal Reporting Schedule and Escalation Protocols

4.1 The Capital Management Desk will prepare capital adequacy returns on a **bi-monthly schedule, submitting internal reports by the 30th day** following the end of the bi-monthly cycle.
4.2 The Audit Committee of the Board shall receive bi-monthly executive summaries during scheduled board convocations.

5. Remediation & Internal Control Gaps Identification

5.1 Any variance detected by the internal audit team must be recorded in the Risk Management Register.
5.2 Where external regulatory obligations diverge from internal targets, the Chief Compliance Officer (CCO) is mandated to propose an amendment to the Board within 60 days.